

reader of this book has already read Greenblatt's book. His Magic Formula calls for all stocks to be held for exactly a year. Whether a stock declines or appreciates, once you buy a Magic Formula stock, per the algorithm, it cannot be sold for a year. Magic Formula stocks are, in general, deep value stocks. They are mostly stocks where the lion has already roared and the stock has plummeted. The Magic Formula works because most of the roaring, if not all, ends over the course of the year and rationality prevails, eventually leading to, on average, a significantly above-market annualized return. One year is a very good holding time frame, but if you understand the business well before buying it, I believe a longer time frame is fully warranted and justified. The Magic Formula suggests that you buy stocks that you know nothing about and hold for 12 months. It makes logical sense that you'd want to allow a longer holding period on businesses you actually understand well.

If you have a very high degree of conviction on underlying intrinsic value, feel free to hold on to losers for longer than two to three years, but always be cognizant of the time value of money. It is very hard to make up the lost non-compounding years. The two-to-three-year rule prevents us from running when the lion roars—it helps avoid distressed sales at points of maximum pessimism.

A wonderful example of a loudly roaring lion is my roller-coaster ride with Universal Stainless & Alloy Products over the past four years.

UNIVERSAL STAINLESS & ALLOY PRODUCTS

Universal Stainless & Alloy Products, Inc. (USAP) was founded in 1994 (see [Figure 15.2](#)). Since its inception, it has focused on manufacturing specialty steel products used in niche applications like power generation, aerospace, and heavy equipment manufacturing. The company has three manufacturing facilities. All three plants were mothballed facilities and were acquired by the company for next to nothing. The company spent a total of \$10 million to acquire the three facilities. Over the years, it has spent a total of \$68 million in capital expenditures to enhance them.⁴